We started researching this idea in 1986 because we saw the returns of Bamberger's approach beginning to decline.

So you began working on this approach while Bamberger was still there?

Yes, he left in 1987.

Did you completely lose touch with Bamberger after he retired?

Actually, in the mid-1990s, his wife contacted me and asked if I would write a recommendation for him for a law school application. I was happy to do it. As I understand, he did go to law school and get his degree, but I don't know what happened to him afterward.

You took statistical arbitrage to the next level by applying factor analysis. Where did it go from there?

There was a hiatus in running statistical arbitrage between the time Bamberger left and the factor analysis approach was implemented. The October 1987 crash occurred during that gap in trading, which is too bad because that was the single best period for the strategy up to that point. So we missed out on some really great returns, but we still had returns in the high 20s pretty consistently until 1989 when Princeton Newport was wound down after the Princeton office ran into its well-chronicled legal troubles with Giuliani.

Can we talk about that episode? How did your partnership with Regan, who ran the Princeton office, come about?

In 1969 when I met him, Regan was a stockbroker who was looking to do something better than just being a broker. It occurred to him that hedging might be a good way to go and that he should start a partnership to do it. He made a list of four candidates who might be potential partners in such a venture, and I was on that list. He conducted the search shortly after I co-authored *Beat the Market* with Kassouf, which received a fair amount of publicity. I was looking for someone to do the business and administrative side, so it seemed like a pretty good fit. He was doing the things I didn't want to do, and I was doing the things that he couldn't do.

When did you first find out that the Princeton office was being investigated?